

Cambridge
International
AS & A Level

Cambridge International Examinations
Cambridge International Advanced Subsidiary and Advanced Level

ECONOMICS

Paper 1 Multiple Choice (Core)

9708/12

May/June 2014

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zarak Mushtaq

Solved with reasons!

[Signature]

This document consists of **13** printed pages and **3** blank pages.

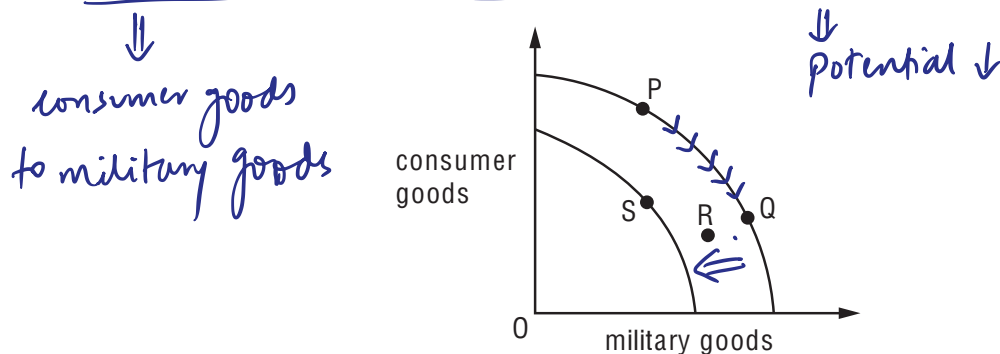
2

- 1 By 2030, as the human population grows, the world will need at least 50% more food, 45% more energy and 30% more water from the same resources. wants ↑

What does this statement directly indicate?

- ↳ limited resources
- A comparative advantage (lower opportunity cost)
 - B merit goods (External benefits)
 - C negative externalities (Demerit goods)
 - ☒ D the economic problem (unlimited wants, limited resources, scarcity, choice)

- 2 A country was at point P on its production possibility curve. Following the threat of invasion it prepared for war. The war then reduced the country's infrastructure.



What are the most likely changes on the production possibility curve diagram that are consistent with these events?

- A P to Q followed by Q to R
- ☒ B P to Q followed by Q to S
- C P to R followed by R to Q
- D P to R followed by R to S

Shows combination of output that an economy can produce with given resources.

- 3 Which is a normative statement?

- A A reduction in unemployment below a certain level will lead to higher inflation.
- B An increase in the rate of inflation will lead inevitably to an increase in unemployment.
- C Inflation can be reduced only by increasing the level of unemployment.
- ☒ D Unemployment is more harmful to economic welfare than inflation.

Normative !

In economics and philosophy, a normative statement expresses a value judgment about whether a situation is desirable or undesirable. It looks at the world as it "should" be.

Positive !

In the social sciences and philosophy, a positive or descriptive statement concerns what "is", "was", or "will be", and contains no indication of approval or disapproval. Positive statements are thus the opposite of normative statements. Positive statement is based on empirical evidence.

3

* She is labour and enterprise

Land required ↑

- 4 Meera has just finished a course at art college and has decided to set up a business on her own producing clay figures of famous people.

Which factors of production is she likely to have to purchase from other businesses?

capital,
that is
tools,
required!

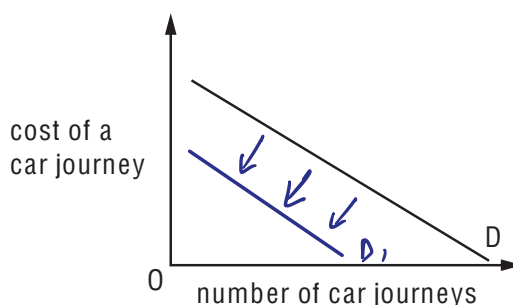
	land	labour	capital	enterprise
A	✓	✓	✓	x
B	✓	x	✓	✓
☒ C	✓	x	✓	x
D	x	✓	x	✓

key

✓ = purchased

x = not purchased

- 5 The demand curve in the diagram shows the relationship between the number of car journeys and the cost of a car journey.



What would cause the demand curve to shift to the left? Decrease in demand

- A a reduction in car tax indirect tax, Supply ↑
- B a reduction in petrol prices
- ☒ C a reduction in public transport prices, cars' will be expensive (substitute)
- D the introduction of tolls on motorways

Substitutes (+ve Relationship)

Public Transport

Car transport

Prices ↓
QD ↑

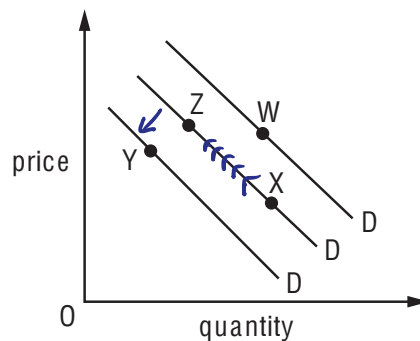
Demand ↓

* There is a positive relationship between price of one good and demand for other

4

- 6 The diagram shows the market for milk. Two conditions change. The cost of cattle feed rises sharply and this is followed by the government raising the tax on cheese which uses milk in its production.

X to Z:- Supply ↓
Z to Y:- Demand ↓



Supply ↓
Cheese expensive,
Demand for milk ↓

Which changes in position on the diagram of demand curves for milk are consistent with these events?

- A from W to X, followed by X to Z
B from W to Z, followed by Z to X
☒ C from X to Z, followed by Z to Y
D from Z to X, followed by X to Y

- 7 If the elasticity of demand for a commodity is unitary, an increase in its price will

- ☒ A decrease the quantity purchased. (Price ↑ QD ↓)
B have no effect on consumer surplus. Prices ↑ C.S ↓
C increase total expenditure on the commodity. Total revenue / Total Expenditure remains unchanged
D leave the quantity purchased unchanged. (Happens in perfectly inelastic demand)

- 8 The table shows a consumer's expenditure on a range of goods at different levels of income.

For which good does the consumer have an income elasticity of demand greater than zero, but less than one?

YED ⇒ > 0 but < 1 (+ve)

good	consumer's income (\$)			% Δ in Y
	40	50	100	150 %
	consumer's expenditure (\$)			% Δ in QD
A	10	18	40	300 %
☒ B	10	11	20	100 %
C	10	10	10	0
D	10	8	6	-40 %

YED :-

+2 'normal'
+0.67 (> 0 and < 1)
0
-0.1

$$\frac{\text{New} - \text{old}}{\text{old}} \times 100$$

5

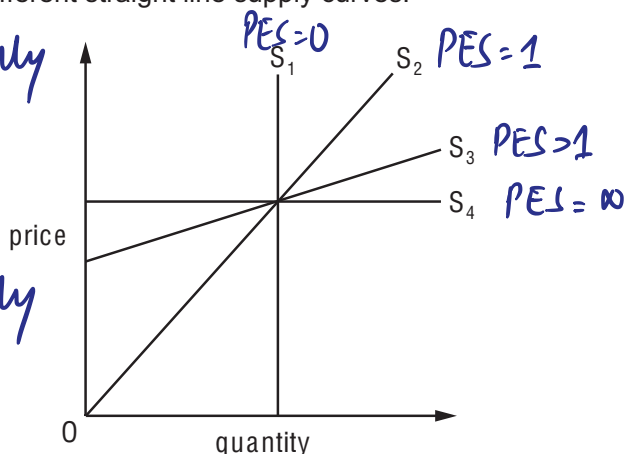
9 What might cause a market supply curve to shift to the right?

- ☒ A increased government subsidies *Supply ↑*
- ☐ B increased labour costs *Supply ↓*
- ☐ C increased product advertising *Demand ↑*
- ☐ D lower income tax rates *Demand ↑*

Subsidy is a grant or a cash payment given by the government to the producers to encourage them to produce more. This reduces cost of production and encourages them to supply more.

10 The diagram shows four different straight line supply curves.

S_1 :- Perfectly inelastic supply
 S_2 :- Unitary supply
 S_3 :- Elastic supply
 S_4 :- Perfectly elastic supply



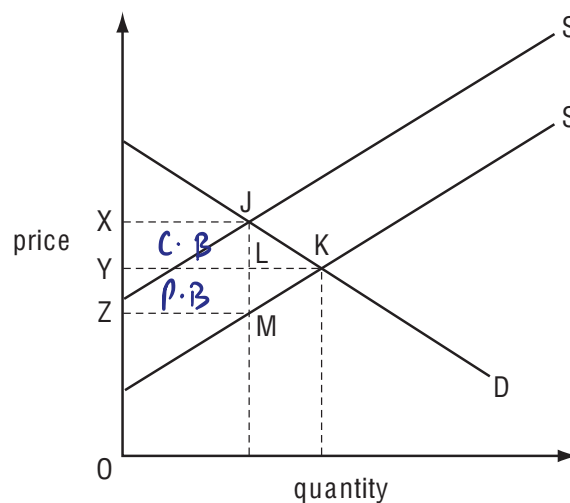
What can be concluded from the diagram?

- ☐ A S_1 has unitary elasticity.
- ☐ B S_2 has zero elasticity.
- ☐ C S_3 has a constant elasticity.
- ☒ D S_4 has infinite elasticity. (*perfectly elastic supply*)

6 per unit tax

11 The diagram illustrates the effects of placing a specific tax equal to JM on a good.

- A:- social welfare loss
B:- loss in consumer surplus
C:- consumer Burden

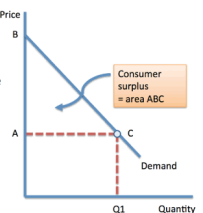


MCQ NO. 12

What is Consumer Surplus?

Consumer surplus is a measure of the economic welfare that people gain from purchasing and then consuming goods and services

- Consumer surplus is the difference between the total amount that consumers are willing and able to pay for a good or service (shown by the demand curve) and the total amount that they actually do pay (i.e. the market price).
- Consumer surplus is indicated by the area under the demand curve and above the market price.



Which area represents total tax receipts? (consumer Burden + Producer Burden)

- A JKM B XJKY C XJLY ~~D XJMZ~~

12 What is consumer surplus? (Below the demand and above price level)

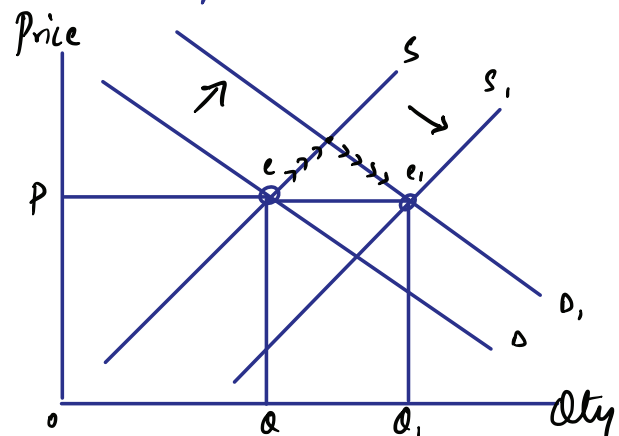
- A the difference between the cost of producing a good and what consumers would be willing to pay for it
B the difference between what consumers actually pay for a good and its cost of production
~~C~~ the difference between what consumers actually pay for a good and the maximum amount they would be willing to pay for it
D the difference between what consumers are willing to pay for a good and the amount required by producers to supply the good

13 In a market for a good both demand and supply change at the same time.

Qty ↑ Which combination of changes would enable an economist to predict with confidence that more resources will be needed in its production but not the direction of the associated price change?

	demand	supply
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

Price unchanged.



No price attached to it

7

14 The existence of a positive externality is possible when

- (merit goods)*
- ☒ A consumers are not the best judges of the future benefits from consuming a product.
- B groups of consumers act together to negotiate a discount on the sale of a product. *Price*
- C producers use a government scheme to clear waste from their offices at no cost to themselves. *cost of government*
- D social costs of production exceed private costs of production. *SC > PC, existence of external cost!*

15 A firm opens a new factory on derelict ground on the outskirts of a town.

What will be included among the externalities arising from the opening of the new factory?

	an increase in air pollution	an increase in the rents of neighbouring factory sites	the change in the appearance of the neighbourhood
A	no	no ✓	yes ✓
B	no	yes	no
☒ C	yes ✓	no ✓	yes ✓
D	yes ✓	yes	no

production:- Air pollution

16 A firm owns a bridge and charges all vehicle users who cross it.

How might the charge be classified?

- Price attached*
- ☒ A a private benefit and a private cost *(Price attached to it) (Demand and Supply)*
- B a private benefit and an external cost
- C an external benefit and a private cost
- D an external benefit and an external cost

- 17 The table shows the results of a cost-benefit analysis into the building of a new runway at an airport.

$$\text{Social Cost} = \text{private cost} + \text{External cost}$$

$$125 = 100 + 25$$

	costs US\$m	benefits US\$m
private	100	125
external	25	20

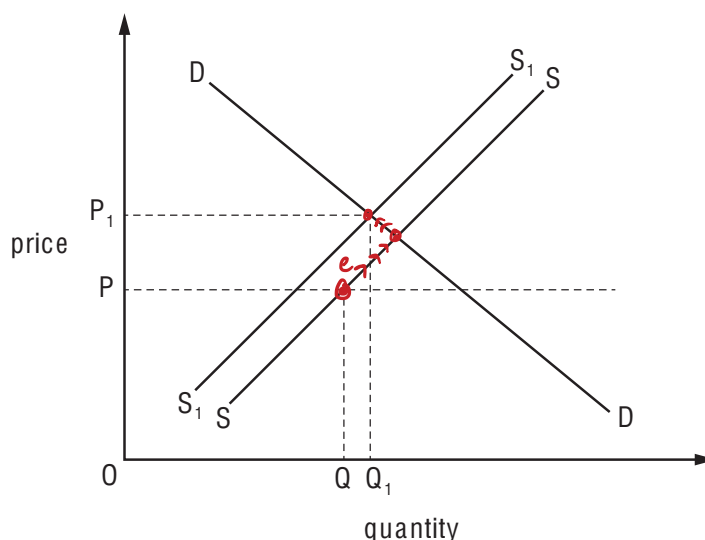
$$\text{social benefit} = \text{private benefit} + \text{External benefit}$$

$$145 = 125 + 20$$

Which statement about the new runway is correct?

- A The net external benefit is US\$5 million. $EB - EC \Rightarrow -5m (20 - 25)$
- ☒ B The net private benefit is US\$25 million. $PB - PC \Rightarrow 25m (125 - 100)$
- C The net social benefit is US\$105 million. $SB - SC \Rightarrow 20m (145 - 125)$
- D The net social benefit is US\$145 million. $SB - SC \Rightarrow 20m (145 - 125)$

- 18 In the diagram, the initial quantity traded was Q and the price was P.



The price then rose to P₁ and the quantity traded rose to Q₁.

Which combination of government policy measures could explain this change?

- A the removal of a maximum price and the imposition of an income tax on consumers
- ☒ B the removal of a maximum price and the removal of a subsidy to producers cost ↑, supply ↓
- C the removal of a minimum price and the granting of a subsidy to producers
- D the removal of a minimum price and the imposition of an indirect tax on the product

Concept of rationing, maximum price removed, shortage eliminated, back to price mechanism.

* Both countries will gain if the exchange rate lies between the opportunity cost ratios of 2 countries, else no gains from trade or cease the trade!

- 19 The table shows the output of cars and televisions per worker per week before trade and specialisation.

X $\Rightarrow$ cars
cars : Television
2 : 6
1 : 3

	country X	country Y
cars	2	8
televisions	6	48

Y $\Rightarrow$ Television
cars : Television
8 : 48
1 : 6

Each country specialises in the product where it has a comparative advantage and trades on the basis of an exchange rate which lies between their opportunity cost ratios.

Which change would stop the countries specialising and trading?

- A The exchange rate moves to one car for five televisions. (lies in the ratios)
☒ B The exchange rate moves to one car for eight televisions. (1 car : 8 television) (Disadvantage for both)
 C The productivity of workers in country X rises to three cars per week. (1C : 2T)
 D The productivity of workers in country Y rises to fifty six televisions per week. (1C : 7T)

- 20 A country produces washing machines. The government lowered both the tax on washing machines produced in its country and the quota on imports of foreign washing machines.

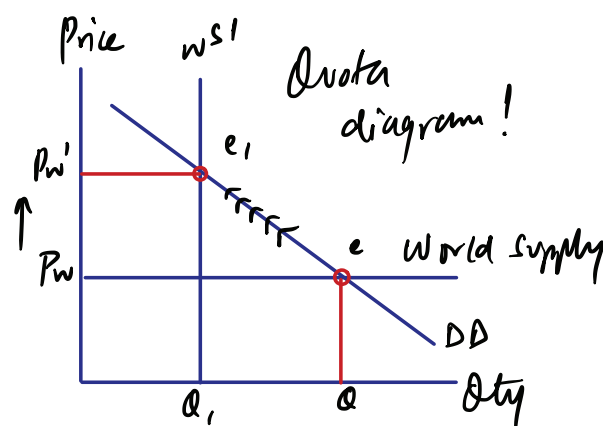
What is the likely result?

$\hookrightarrow$ less can be imported

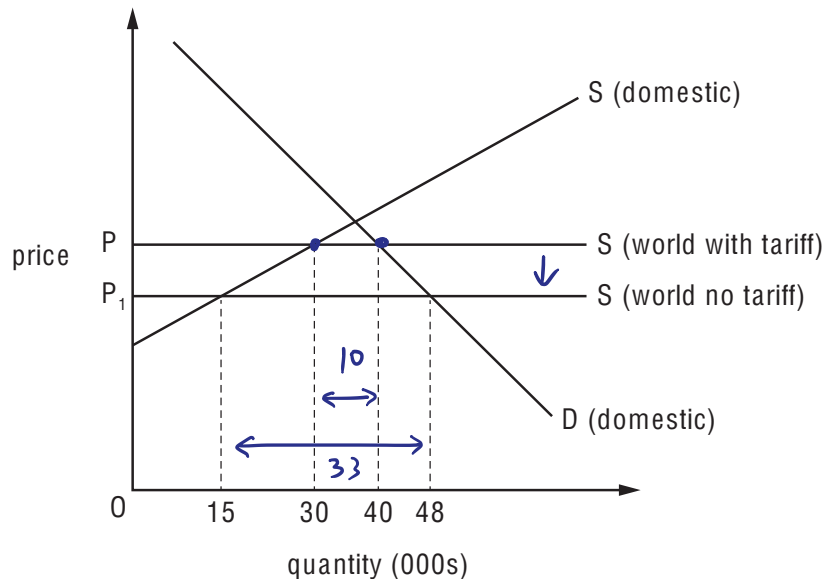
- A Government revenue increased. (Taxes are reduced)
 B Home production decreased. (costs have reduced as taxes $\downarrow$)
 C Prices of foreign washing machines fell. (Quota raises the prices)
☒ D The balance of trade in goods improved.

$\nwarrow$ Tax $\downarrow$
 Prices $\downarrow$
 (Exports)
 $X(TE) \uparrow$

$\searrow$ Quota
 Prices (imports) $\uparrow$
 $M(TE) \downarrow$



- 21 The diagram shows the effect on the quantity of an import to the domestic market of the removal of a tariff that reduces the import's price to P_1 .



By how much will the quantity of imports increase? (*Shortage*)

- A 8000 tonnes
- B 10 000 tonnes
- ☒ C 23 000 tonnes (*$33 - 10 \Rightarrow 23$ tonnes*)
- D 33 000 tonnes

- 22 A group of countries join together to form a single market with a single common currency.

Which term best describes the resulting organisation?

- A customs union
- ☒ B economic union
- C free trade area
- D trade union (*Party to negotiate between employers and employees*)

Custom Union

A customs union is generally defined as a type of trade bloc which is composed of a free trade area with a common external tariff. Customs unions are established through trade pacts where the participant countries set up common external trade policy (in some cases they use different import quotas).

Economic Union

An economic union is a type of trade bloc which is composed of a common market with a customs union. The participant countries have both common policies on product regulation, freedom of movement of goods, services and the factors of production (capital and labour) and a common external trade policy.

Free trade areas

A free-trade area is the region encompassing a trade bloc whose member countries have signed a free trade agreement. Such agreements involve cooperation between at least two countries to reduce trade barriers – import quotas and tariffs – and to increase trade of goods and services with each other.

$$\text{Unemployment rate} = \frac{\text{Unemployed}}{\text{labour force}} \times 100$$

$$\text{labour force} = \text{Employed} + \text{Unemployed}$$

11

23 The table shows the unemployment rate and the size of the labour force in four countries in 2012.

Which country had the highest number of people in employment in 2012?

	country	unemployment rate (%)	size of the labour force (millions)
A	Egypt	12.6	27.7
B	Iran	15.3	26.4
C	Italy	9.3	25.1
D	Turkey	8.0	27.4

$$\text{Unemployed} = \text{Employed}$$

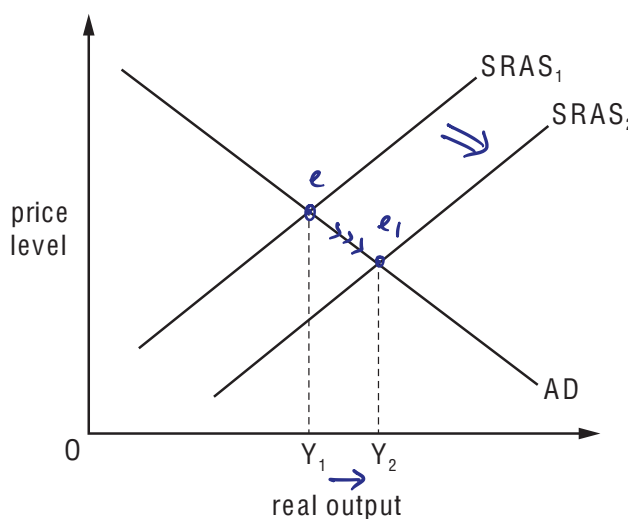
$$3.49 = 24.2$$

$$4.03 = 22.4$$

$$2.33 = 22.7$$

$$2.19 = 25.2 \text{ (Highest)}$$

24 The diagram shows an economy's aggregate demand curve and two short-run aggregate supply curves.



What could cause the change in real output from Y_1 to Y_2 ?

A a decrease in bank lending *less investment*

☒ B a decrease in world oil prices *cost ↓, AS ↑*

C an increase in indirect taxation *cost ↑, AS ↓*

D an increase in wage rates *cost ↑, AS ↓*

25 The table shows a country's rate of inflation for four years.

year	rate of inflation %
2009	4.0
2010	3.0
2011	2.5
2012	2.0

Remember dis-inflation

Rate is reducing

Prices are still increasing but at a decreasing rate

What fell between 2009 and 2012?

A average prices *rise*

B the cost of living *rise*

C the exchange rate *rise*

☒ D the value of money *Prices ↑, value of money ↓*

26 What is not a possible cause of cost-push inflation?

A an increase in firms' profit margins *cost ↑, prices ↑*

B an increase in raw material prices *cost ↑, prices ↑*

☒ C an increase in the supply of money *(monetary inflation - Part of demand pull)*

D an increase in trade union power *cost ↑, prices ↑*
wages ↑

27 What would lead a country to move from a surplus to a deficit on the current account of the balance of payments?

A a depreciating exchange rate combined with a high rate of inflation and falling productivity

B a depreciating exchange rate combined with a low rate of inflation and rising productivity

☒ C an appreciating exchange rate combined with a high rate of inflation and falling productivity *X prices ↑, m prices ↓, BoT: deficit* *X prices ↑, BoT: deficit* *AS ↓, prices ↑, BoT deficit*

D an appreciating exchange rate combined with a low rate of inflation and rising productivity

Exchange rate

28 What determines the purchasing power parity of a currency?

☒ A relative costs of living

B relative rates of interest

C the balance of payments current account

D the volume of trade creation

Purchasing power parity is a way of measuring economic variables in different countries so that irrelevant exchange rate variations do not distort comparisons.

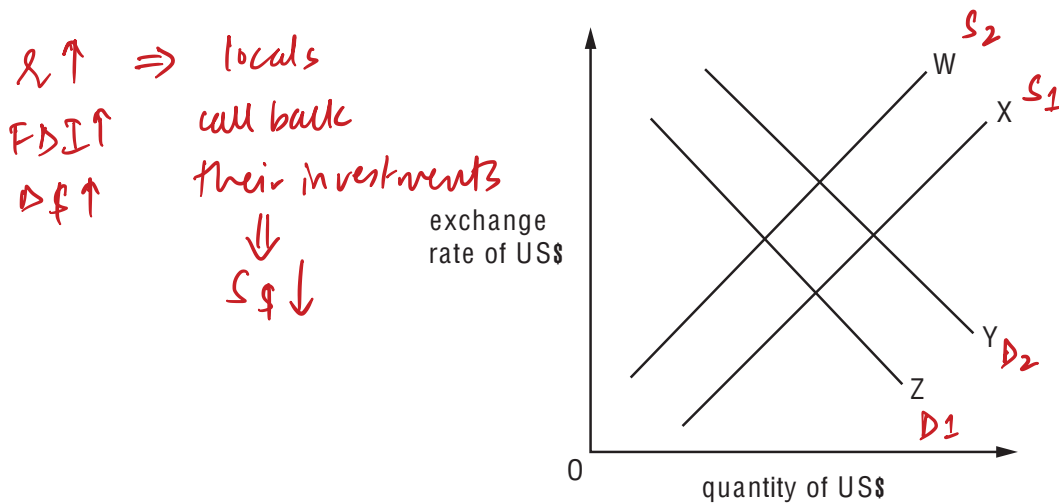
step#1 5 EGP = 1\$ step#2 4 EGP : 1\$
 100 EGP = x x : 20\$
 x = 20\$ x : 80 EGP 13

- 29 With an exchange rate of 5 Egyptian pounds (EGP) = 1 US dollar (\$), an American product sells in Egypt for EGP 100.

Assuming that the dollar price remains unchanged, what will be the price of the product in Egypt if the Egyptian pound appreciates to 4 EGP = 1 US\$?

A EGP 75 ☒ B EGP 80 C EGP 120 D EGP 125

- 30 The US Central Bank raises its interest rate to improve its balance of payments position. The diagram shows the resulting changes in the demand for and supply of US\$ in the foreign exchange market.



What should curves W, X, Y and Z be labelled to show the effect of the interest rate rise on the exchange rate? (Assume a change is shown by a move from a curve numbered 1 to a curve numbered 2.)

	W	X	Y	Z
A	S ₁	S ₂	D ₁	D ₂
B	S ₁	S ₂	D ₂ ✓	D ₁ ✓
C	S ₂ ✓	S ₁ ✓	D ₁	D ₂
☒ D	S ₂ ✓	S ₁ ✓	D ₂ ✓	D ₁ ✓

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